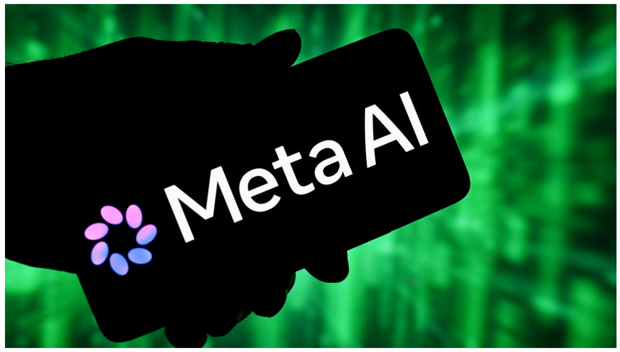
The world in brief

Catch up quickly on the global stories that matter



Photograph: SOPA Images/LightRocket via Gett

Alphabet, Google’s parent company, reported net income of $62.6bn, up 81% year on year, in part because use of artificial intelligence is increasing demand for its cloud-computing services. Its shares rose by 7%. Microsoft and Meta also reported strong earnings. But Meta’s stock dropped by 7%. Investors worry that its number of active users has fallen and that its enormous investments in AI will not pay off.

The **Pentagon** revealed that the war with Iran had cost America $25bn so far. Speaking at a feisty hearing in Congress, Pete Hegseth, the secretary of war, defended the expense, saying it was worth it to stop Iran getting a nuclear bomb. He also denied that the war had become “a quagmire” and lambasted the “defeatist words of congressional Democrats and some Republicans”.

The price of **Brent crude**, the global oil benchmark, rose above $120 a barrel—its highest level since 2022—as hopes of a swift end to the conflict evaporated. Donald Trump said he would maintain a naval blockade of Iran’s ports until it agrees to curb its nuclear programme.

Jerome Powell said he had “no choice” but to remain on the **Federal Reserve’s** board until the Justice Department’s criminal investigation into the central bank was “well and truly over”. The outgoing Fed chair was speaking after the board voted to hold interest rates steady. The move drew four dissents—three from regional presidents who objected to language suggesting the Fed would eventually resume cutting rates.

An **Australian** commission into **antisemitism**, set up after last year’s massacre at a Hanukkah celebration on Bondi beach, recommended that the government finalise a national gun-buyback scheme and bolster policing during Jewish holidays. Meanwhile police declared a stabbing in north London a terrorist incident after two Jewish men were seriously injured. Britain has seen a wave of recent antisemitic attacks.

BP, a British oil major, signed a deal with **Venezuela** to explore for gas in the offshore Loran field, as the country opens its energy sector to foreign firms. Venezuela has already struck similar agreements with other producers, including Eni and Repsol. But high costs, weak infrastructure and political risk may still deter large-scale investment.

America’s Supreme Court ruled 6-3 to weaken the **Voting Rights Act**, which forbids racially-discriminatory voting practices. In striking down a Louisiana electoral map designed to protect minorities’ voting power, the court decided the VRA did not entitle states to consider race when redistricting. Elena Kagan, a dissenting liberal justice, lamented the “now-completed demolition” of one of America’s “most consequential, efficacious and amply justified” acts.

Figure of the day: 12, the number of African countries expected to be among the world’s 20 fastest-growing economies in 2026. Read the full story.

Photograph: Getty Images

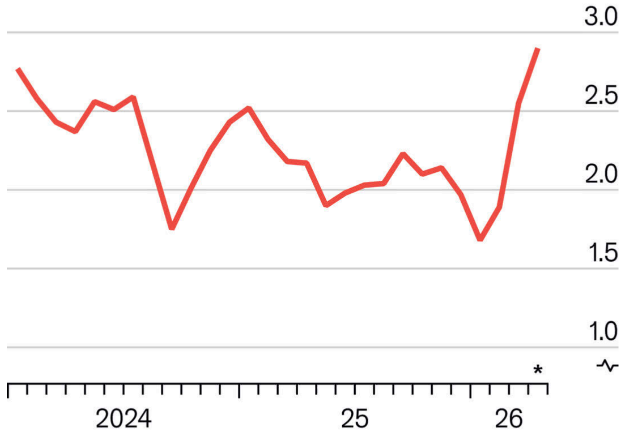
Europe’s opaque economic outlook

The European economy—which includes 27 nations and several currencies—is difficult to predict at the best of times. It is even harder now. The global energy shock is dampening consumers’ appetites and putting upward pressure on inflation, which is forecast to reach 5% or more in the euro zone this year if oil prices stay above $100 into 2027. Yet Europe is better positioned than Asia, whose energy-supply problems are worse.

On Thursday those looking to divine the future will be treated to a double helping of tea-leaves: the latest figures for inflation and growth will (unusually) be released simultaneously. The European Central Bank will then try to scry whether it should start increasing interest rates again to prevent energy-price inflation spilling over into the broader economy. But an obvious way forward seems unlikely to emerge. Recent business-activity data was more confusing than clarifying: indicators for services were dire, at near pandemic-era lows, while those for industry were at a buoyant 47-month high.

Shock at the till

Euro area, consumer prices,
% increase on a year earlier



Source: Haver Analytics

*Forecast

Illustration: David Simons

The Bank of England’s waiting game

Britain’s central bank is expected to keep its benchmark interest rate at 3.75% on Thursday. Before the war in the Gulf the Bank of England was cutting rates; it has done so six times since August 2024. In early February the bank projected that inflation would fall to around 2% (its target) in the second quarter of 2026, leading traders to expect further cuts. But because of soaring energy costs the bank’s latest analysis suggests that inflation could reach 3.5% this year.

Huw Pill, its chief economist, and others worry this will cause wages and prices to push each other higher over a longer period. They think a pre-emptive interest-rate hike might be the best way to prevent that. But a premature rise could weaken an already-fragile economy. Most of the bank’s policymakers—including Andrew Bailey, the governor—will probably urge caution. They will want the fog of war to clear a little before they alter rates.

Photograph: EPA

Iran's World Cup dilemma

More than 200 national football federations will attend the annual congress of FIFA, the game's global governing body, which starts in Vancouver on Thursday. The men's World Cup in America, Canada and Mexico, which kicks off in just six weeks, is sure to dominate discussions.

That will mean more political talk than usual—not least about Iran's participation. The country's sports minister, Ahmad Donyamali, has expressed concerns about security, linked to the war with America. "Our boys are not safe," he has said. Iran are due to play group-stage matches against Belgium and New Zealand in Los Angeles and against Egypt in Seattle. FIFA has dismissed requests to move the games to Mexico.

FIFA's president, Gianni Infantino, is eager to keep the ball rolling. He insists that Iran will take the field. But with five members of the Iranian women's team granted humanitarian visas after a tournament in Australia, security concerns may be the least of Tehran's worries.

Photograph: Propstore

Souvenirs of popstars past

Pop memorabilia is big business. Recently Christie's, a venerable auction house, sold a Fender Stratocaster played by David Gilmour, Pink Floyd's guitarist, for a record $14.5m. The "Treasures from Music" auction, which opens on Thursday in London, caters to (somewhat) smaller budgets. Propstore, the auctioneer, founded in 1998, is two centuries younger than Christie's. Its catalogue includes curios connected to Michael Jackson, Amy Winehouse, Oasis and Queen. The prices range from three to six figures.

Among the most expensive is an autographed Gibson Les Paul guitar used by Slash of Guns N' Roses, which could fetch £300,000 ($405,000). Other highlights include a fur coat that belonged to George Harrison, the Beatles' late lead guitarist; a proof print of "Aladdin Sane", David Bowie's lightning-flash album cover; and a leather jacket worn by George Michael in his "Faith" music video. From this century, a battered pair of Kendrick Lamar's Nike sneakers is listed for £20,000.

Illustration: Sandra Navarro

Daily quiz

We will serve you a new question each weekday. On Friday your challenge is to give us all five answers and tell us the theme. Email your responses (and your home city and country) by 1700 BST on Friday to . We'll pick three winners at random and crown them on Saturday.

Thursday: Which buildings in Malaysia were the world's tallest from 1998 to 2004?

Wednesday: The median appears at which point of a statistical distribution?

Work is the best of narcotics, providing the patient be strong enough to take it.

Beatrice Webb